

EXAMINERS' COMMENTS ON THE PERFORMANCE OF THE EXAMINEES

PAPER – 4: COST AND MANAGEMENT ACCOUNTING

Specific Comments

Question 1.(a) This numerical question was based on 'Unit & Batch Costing' requiring examinees to calculate the selling price per desk at a specified level of output. Some examinees were unable to grasp this concept correctly. Overall, the performance of the examinees was **Average**.

(b) This numerical question was based on 'Employee Cost' requiring calculation of normal hourly wages rate and Material Cost based on two different incentive schemes i.e. Halsey and Rowan Plan. Most of the examinees were not able to calculate the hourly wages rate and material cost. Overall performance of the examinees was **Below Average**.

(c) This numerical question was based on 'Standard Costing'. The requirement of this question was to calculate Actual hours, Actual Variable Overhead rate per hour, Variable Overhead Cost Variance and Fixed overhead Cost Variance. The overall performance of the examinees was **Above Average**.

Question 2.(a) This numerical question was based on 'Service Costing' requiring to calculate total cost per month for the toll plaza and toll rate to be charged for each type of Vehicle. A significant number of examinees calculated the total cost per month but failed to understand the concept of equivalent units, which was the primary reason for the **Below Average** performance.

(b) This numerical question was based on 'Overheads- Absorption Costing Method'. The question required the candidate to apportionment of the expenses of service departments to production departments using Simultaneous equation method. Many examinees solved the question using step method. As a result, overall performance of examinees is rated as **Average**.

Question 3.(a) This numerical question was based on 'Activity Based Costing'. The requirement of this question was to calculate total cost and per project cost of different service sectors and identify the most profitable sector

based on profitability percentage on fees charged. Most of the examinees answered on the correct line and the overall performance was **Good**.

(b) This numerical question was based on 'Marginal Costing, which requires examinees to find out the optimum product mix, considering material as the limited factor, to generate maximum profit and calculate the maximum profit. examinees showed lack of knowledge of limiting factor, which resulted in **Poor performance**.

Question 4.(a) This numerical question was based on 'Budget and Budgetary Control' which requires to prepare quarter-wise Production budget and the Raw material consumption budget. The question also required to calculate machine wise total Machine hours including maintenance time required. Many examinees failed to calculate total Machine hours. Overall performance of the examinees was **Average**.

(b) This numerical question was based on 'Cost Accounting System' which required to journalise the transactions in Cost Books maintained on Non-Integrated System of Accounting. Overall performance of the examinees was **Average**.

Question 5.(a) This numerical question was based on 'ABC Inventory Control' which required Rank the materials and draw a plan of ABC selective control using the basis given. The examinees shown lack of knowledge of the ABC selective control concept. Overall performance of the examinees was **Below Average**.

(b) This numerical question was based on "Material Cost' requiring examinees to calculate Economic Order Quantity and Number of Orders to be placed in a year. Overall performance of the examinees was **Good**.

(c) This question was based on 'Overheads-Absorption Costing Method' which required to complete the table regarding accounting entries pertaining to Over/Under absorption and give the Calculation of amount formula. Overall performance of the examinees was **Average**.

Question 6.(a) This theoretical question was based on 'Introduction to Cost and Management Accounting' requiring examinees to define Responsibility Centre and discuss the types of Responsibility Centre. Overall performance of the examinees was **Average**.

(b) This theoretical question was based on 'Job Costing' requiring examinees to list the advantages of Job Costing. Overall performance of the examinees was **Average**.

(c) This theoretical question was based on 'Employee Cost and Direct Expenses' requiring examinees to list the important factors which need consideration for controlling employee cost. Overall performance of the examinees was **Below Average**.

OR

(c) This theoretical question was based on 'Material Cost' requiring candidate to discuss the uses of Bill of Material in the given departments. Overall performance of the examinees was **Poor**.

PAPER – 5: AUDITING AND ETHICS

Specific Comments

Question 1.(a) Most appropriate type of audit evidence in verification of an assertion: Most of the examinees emphasised on the sufficiency and appropriateness of audit evidence instead of identifying the best evidence for testing assertions. Majority of examinees could not identify the evidence that brings the highest satisfaction to the auditor about the appropriateness or otherwise of the assertion. However, they correctly wrote the most suitable evidence type for verifying cash and investments pledged with the bank.

(b) Objective of identifying and assessing the risk of material misstatement: Many examinees did not explain how the auditor will satisfy the objective of identifying and assessing the risk of material misstatement. Instead, they described the components of risk of material misstatements and incorrectly described the risk assessment procedures.

(c) Additional audit procedures for inventory verification on a date other than the balance sheet date: Most of the examinees did not correctly describe the audit procedures applicable when inventory is verified on a date other than the date of the financial statements. Many examinees did not address the requirement to verify whether the changes in inventory between the physical count date and the financial statement date have been accurately

recorded. Additionally, examinees did not differentiate the audit procedures required in each specific situation.

Question 2.(a) Meaning of 'Deficiency in internal control' and 'Significant deficiency in internal control': Most of the examinees could not describe significant deficiencies in internal control often confusing examples of deficiencies with the factors that define a significant deficiency.

(b) Purpose of communicating Key Audit Matters and Key Audit Matters not a substitute for disclosure in financial statements: Many examinees wrote an incomplete understanding of the purpose of communicating key audit matters as given in SA 701. Many examinees reproduced general statements about audit reporting without explaining how key audit matters enhance the communicative value of the auditor's report or assists users in understanding matters of most significance in the audit.

In addition, some examinees did not explain properly that communicating key audit matters is not a substitute for disclosure in the financial statements etc. Instead of identifying the specific points required by the Standard, several examinees wrote the definition of Key audit matters itself which was not required.

Question 3.(a) Applicability of Reporting requirements on adequacy of IFC and Applicability of CARO to a Private Limited Company: Most of the examinees were unable to accurately state the conditions under which reporting on the adequacy and operating effectiveness of Internal Financial Controls (IFC) is not applicable to a private limited company. Many examinees reproduced incomplete conditions or confused the exemption available to private companies with general reporting requirements. Several examinees omitted key thresholds relating to turnover and aggregate borrowings, which are essential for determining the exemption.

With respect to the applicability of CARO, 2020, many examinees listed the criteria incorrectly and mixed up the financial limits. Some examinees failed to mention that all three conditions—paid-up capital and reserves limit, borrowing limit, and total revenue limit—must be satisfied cumulatively.

(b) Factors that may make it appropriate to revise the terms of the audit engagement: Many examinees were unable to clearly identify the specific situations in which the auditor should consider revising the terms of an audit

engagement or reminding management of the existing terms as required under SA 210. Instead of listing the precise conditions, several examinees wrote general statements about issuing engagement letters or repeated the overall purpose of SA 210 without addressing the circumstances that necessitate revision.

Some examinees incorrectly described situations such as changes in audit fees or rotation of auditors, which are not part of the Standard's conditions.

(c) Meaning and objective of Take-out finance and income recognition by the lending bank in case of NPA: Many examinees were not aware about the concept of take-out finance in property development. Several examinees merely wrote definitions of take over finance or long-term loans, without explaining that take-out finance specifically involves replacing an initial loan with long-term financing once project milestones are achieved.

Most of the examinees could not mention the objectives of take-out finance, particularly the role it plays in expanding the sources of finance for infrastructure projects, addressing exposure and asset-liability mismatch issues and increasing the availability of longer-tenor debt. Instead, many examinees provided irrelevant points or broadly described benefits of bank loans, which were not required.

Question 4.(a) Documentation by the Auditor in Case of Financial Crisis of a Receivable: The question required examinees to explain the auditor's responsibility to document discussions with management regarding a receivable affected by a financial crisis. However, many examinees focused broadly on general audit documentation requirements rather than addressing the specific requirement to record the nature of the discussions, the individuals involved, the timing of the discussions and how any inconsistencies were resolved. The scenario-based elements such as the financial crisis of M/s Raj Enterprises, the amount of provision recommended by the auditor and the amount ultimately accepted by management were overlooked entirely.

(b) Verification of client integrity during pre-acceptance of an audit engagement: Some examinees demonstrated an inadequate understanding of the specific factors an audit firm must consider when assessing the integrity of a prospective client under SQC 1. Instead of identifying the prescribed

matters such as the reputation of owners and management, the nature of business operations, attitude toward financial reporting or indications of criminal activity, several examinees described general pre-engagement procedures or reproduced standard audit planning steps, which were not relevant to the question.

(c) Statistical Sampling - More scientific approach to Sampling: Many examinees were unable to clearly state why statistical sampling is considered more scientific than judgmental sampling. Instead of discussing the use of probability theory, the absence of auditor bias and ability to project results to the population, several examinees merely stated that statistical sampling is "more accurate" or "more reliable" without explaining the underlying reasons.

Many examinees did not apply the concept to the case involving over one lakh sales transactions. Also, they did not mention that statistical sampling is particularly useful in large and homogeneous populations. Some examinees incorrectly suggested non-statistical or judgement-based methods as the preferred approach.

Further, many examinees confused type of sampling describing haphazard or judgmental selection instead of random sampling, which is the appropriate method in such a situation.

Question 5.(a) Factors for planning the nature, timing, and extent of direction and supervision of the engagement team members and review of their work: Most of the examinees recognised the relevant factors and were able to list the required points accurately. In the second part, many examinees appropriately referred to modifications in the audit plan, audit strategy or audit procedures. However, examinees did not explain that the audit plan must be updated when new information or unexpected events occur.

(b) Audit Procedures for verification of the assertion "Existence" in case of Borrowings: Only few examinees understood audit procedures relating to verification of borrowings. Some examinees did not mention essential procedures such as reviewing board minutes for approval of borrowings, examining compliance with covenants, verifying charges on assets (including

pari passu charges) and ensuring proper discharge of securities when loans are repaid. Several examinees also overlooked the need to trace fresh borrowings and repayments to bank statements and books of account.

(c) Auditor's Duty Regarding Audit of LLP: Many examinees lacked a clear and comprehensive understanding of auditor's duties in the audit of LLP. Although several examinees mentioned "verifying provisions" or "checking the LLP agreement," they failed to identify the key sources from which such verification must be performed namely, the engagement letter, the LLP agreement, and the minutes book.

Question 6.(a) Disclosures for inventories under Schedule III (Part I) to the Companies Act, 2013: Some examinees failed to answer as required and instead wrote generally about audit procedures for inventory verification, such as physical counting or valuation checks. This reflected a lack of clarity between audit procedures and statutory disclosure requirements under Schedule III of the Companies Act, 2013.

Few examinees did not give the specific classification - Raw Materials, WIP, Finished Goods, Stock-in-Trade, Stores & Spares, Loose Tools, and Others as well as omitting the requirement to disclose goods-in-transit separately under the respective heads.

(b) Audit of stores and inventories of the Government Department: Many examinees did not write the specific issues faced by government departments and instead wrote general procedures relating to physical verification or valuation of inventories. Examinees often overlooked key aspects such as assessing compliance with government purchase regulations, identifying uneconomical or excessive inventory holdings and examining reasonableness of prices and contract terms.

(c) OR Classification of Appropriate Threats with Reasons

Examinees correctly identified the types of threats. However, a few were unable to provide the correct reasoning for their classification.

PAPER – 6: FINANCIAL MANAGEMENT & STRATEGIC MANAGEMENT**SECTION A – FINANCIAL MANAGEMENT****Specific Comments**

Question 1.(a) This was a numerical question based on “cost of capital” requiring calculation of cost of equity, cost of irredeemable preference share and WACC. Overall performance was **Average** .

(b) This was a numerical question based on “Ratio Analysis” requiring calculation of different ratios. The overall performance of the examinees was **Good** in this question.

(c) This was a numerical question based on “Investment Decision” which required examinees to calculate the Net Present Value (NPV) of new machine. The performance of the examinees was **Poor**.

Question 2.(a) This was a numerical question based on “Leverage” requiring calculation of EBIT, Fixed cost, EPS, MPS and Interest rate on bank loan. The overall performance of the examinees was **Good**.

(b) This was a numerical question based on “Dividend Decision” requiring examinees to calculate the dividend per share and optimum dividend payout ratio using Gordon’s Model. The performance of the examinees was **Below Average**.

Question 3.(a) This was a numerical question on “Capital Structure” requiring to choose the best financing option on the basis of EPS. Overall performance was **Above Average**.

(b) This was a numerical question based on “cost of capital”. The requirement of the question is to calculate issue price of debenture and revised cost of debenture. The performance of the examinees was **Below Average**.

Question 4.(a) This was a theoretical question on “Dividend Decision” to explain the advantages and limitation of stock splits. The performance of the examinees was **Poor**.

(b) This was a theoretical question on “Type of Financing” to explain the different type of bonds. The performance of the examinees was **Poor**.

(c) This was a theoretical question on "Introduction to Financial Management" to explain the basic functions of financial management. The performance of the examinees was **Average**.

OR

This was a theoretical question on "Introduction to Financial Management" to explain the limitation of profit maximisation objective of financial management. The performance of the examinees who attempted the question was **Above Average**.

SECTION – B: STRATEGIC MANAGEMENT

Specific Comments

Question 5.(a) The overall performance was below average. Many examinees were unable to identify the Best-Cost Provider Strategy correctly. Even among those who did, several could not adequately explain the ways of implementing this strategy. Answers generally lacked depth and conceptual clarity.

(b) The performance was above average. Examinees were able to identify the Divestment Strategy appropriately and justify the reasons for its adoption with suitable explanations. The overall understanding of the concept was satisfactory.

(c) The performance was poor. Most examinees failed to identify the appropriate function of Strategic Management, which in turn affected their ability to describe the elements involved in this process. Responses were often vague, lacking structure and conceptual precision.

Question 6.(a) The performance was average. While most examinees correctly explain the meaning of Vision and Mission, many were unable to effectively outline their significance in the strategic planning process.

(b) The performance was commendable. A majority of examinees demonstrated good understanding of the Experience Curve concept and explained its features and implications accurately.

Question 7.(a) The performance was below average. Many examinees exhibited limited understanding of the concept and were unable to explain

why SWOT Analysis needs to be conducted. Answers were superficial and lacked analytical insight.

(b) The performance was above average. Examinees generally explained the meaning of Merger and its four types correctly. However, several struggled to elaborate on the impact of each type of merger, which limited the completeness of their responses.

Question 8.(a) The performance was average. While most examinees defined the business environment, they were unable to clearly explain how environmental factors influence business operations and decision-making.

(b) The performance in the first option was good, with examinees effectively distinguishing between Strategy Formulation and Strategy Implementation. However, in the second option, performance was average due to inadequate understanding of the Hourglass Organization Structure and its advantages.